

Chapter 1

PERSPECTIVE

*There is a tide in the affairs of men
Which, taken at the flood, leads on to fortune;
Omitted, all the voyage of their life
Is bound in shallows and in miseries.
On such a full sea are we now afloat,
And we must take the current when it serves
Or lose our ventures.*

— Edward deVere, 17th Earl of Oxford,
a.k.a. William Shakespeare

The Wave Principle is a detailed description of how markets behave. The description reveals that mass investor psychology swings from pessimism to optimism and back in a natural sequence, creating specific patterns in price movement. Each pattern has implications regarding the position of the market within its overall progression, past, present and future. The resulting insight makes the Wave Principle the most valuable tool ever discovered for interpreting market action and for forecasting future developments. While it provides a practical guide to business and financial decisions, it is a joy to observe in other areas of social behavior as well. "Nature's Law," said R.N. Elliott, "is a phenomenon that appears to mark the progress of all human activities."

Because the Wave Principle describes patterns of collective behavior, the accuracy of any resulting market forecast is dependent upon (1) the reliability of the investing crowd's behavioral patterns and (2) the ability of an analyst to identify the relevant ones properly. In fact, the patterns, while varied, are more than reliable; in a fundamental sense, they are inviolate, a characteristic that makes wave analysis incalculably superior to other methods. Investors form a crowd whose collective action reflects a key aspect of man's nature as a social animal: He is strongly induced to adopt the feelings and convictions of the group. In a realm such as investing, in which so